

craft industry. Development of this fancy new tool had cost Harper about \$2 million, which had been hurting its profitability, but the machine was ready to roll and the manager assured me the company would be shipping product within days.

I turned to my guide and said, "Let me get this straight. So far this has been a cost, you've had no revenue, right?"

"Right."

"And next week you'll start having revenues, right?"

"Sure."

"And that means your profits will go up a lot, right?"

"Well, yeah, you're right."

Even as a novice, I figured this one out. I went back and told Irving and we loaded up on the stock. Which promptly tripled. I was hooked. I knew the stock market was where I wanted to be.

Ask the Owners

Irving always preferred small companies like H. M. Harper over the General Motors and Exxons and AT&Ts of the world. He was an entrepreneur himself, with several business interests, and he could relate to the entrepreneurial spirit in others. When you look at small companies, you typically find one man or a couple of men (back then, when Irving was breaking me in, they were always males) who work day and night and weekends, forget about vacations, and probably have miserable home lives, because all they really care about is making their vision come true. They own a large enough chunk of stock that their personal interests are right in tune with those of the company's outside shareholders. Irving could sit down with those people, who make all the major decisions for their companies, and see the possibilities they saw; their enthusiasm could become his own.